



Toast Inc. (NASDAQ: TOST)

Investment Presentation

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Recommendation

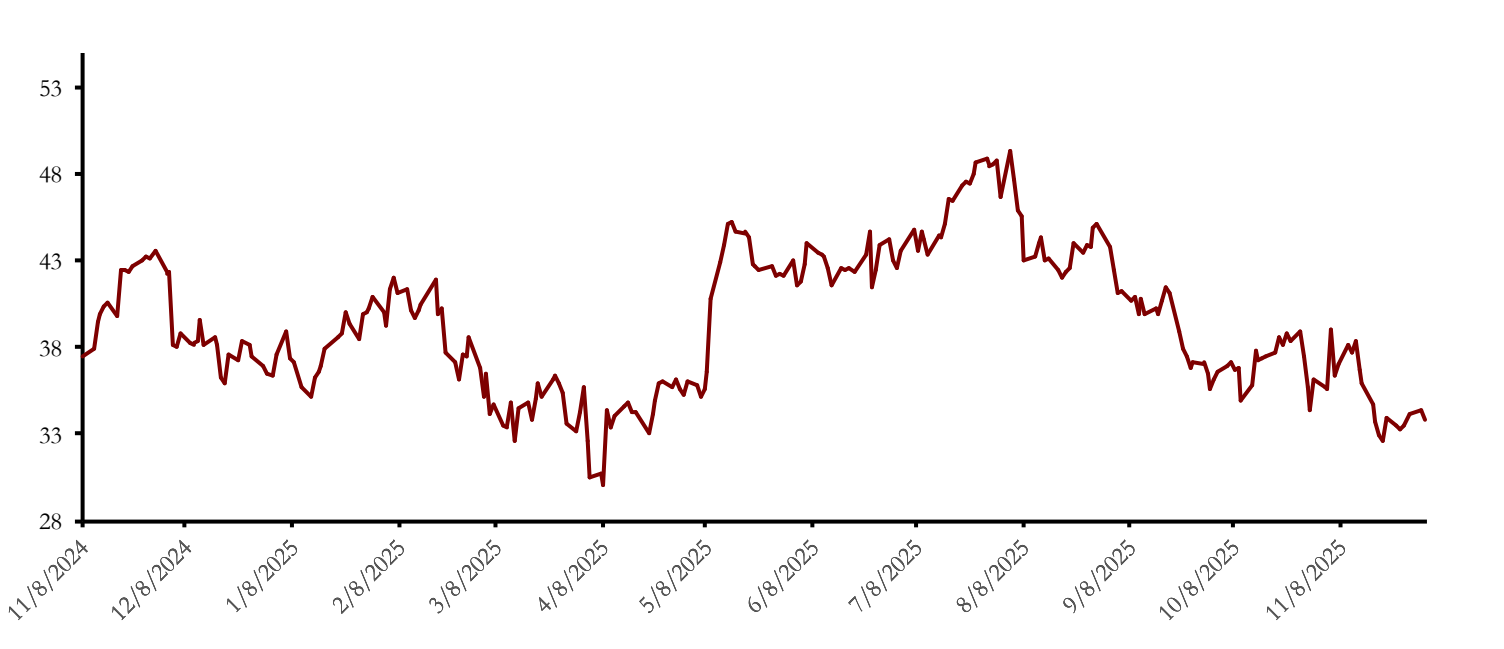


We recommend a long position in **Toast** (TOST) with a **47.13%** upside based on a **\$52.49** price target with a timeframe of ~3 years

Company Overview



Toast, Inc. (TOST) is a cloud-based point-of-sale (POS) and restaurant management platform founded in 2011 and headquartered in **Boston, Massachusetts**. The company provides software and hardware solutions that help restaurants manage operations like ordering, payments, inventory, and employee scheduling. Toast serves a wide range of businesses, from small independent restaurants to large chains, and aims to streamline operations and improve customer experiences. The company went public in 2021 and is listed on the **New York Stock Exchange** under the ticker **TOST**.

TOST Performance		Stock Price	\$34.78
		Market Cap	\$20,204
		LTM Revenue	\$5,860
		EBITDA	\$319
		P/E	78.09x
		Shares Outstanding	515.00

**All in (\$mm) except per diluted EPS and Shares Outstanding*

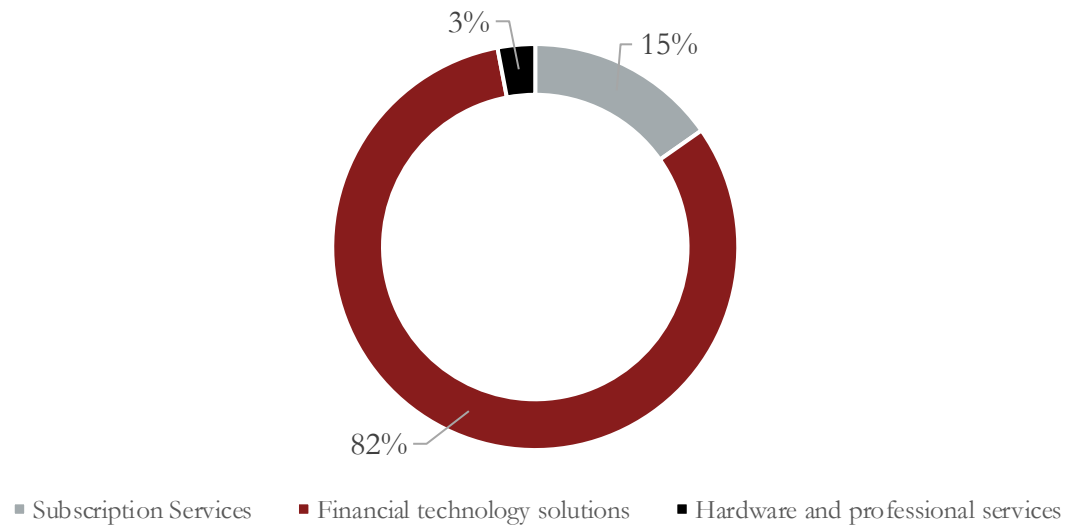
Revenue Breakdown



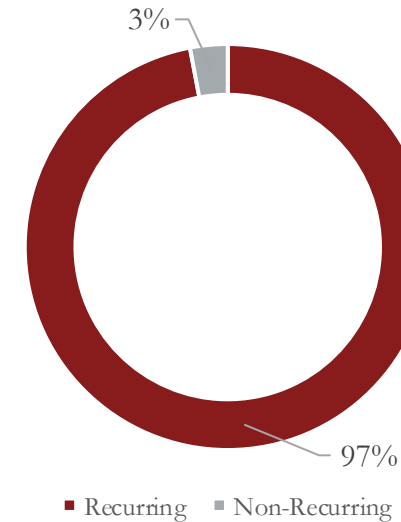
Projected FY 2025 Growth

Financial technology solutions and subscription services are projected to grow by 30% this year, showing how Recurring revenue is continuing to increase for Toast.

By Segment



Recurring Revenue



Product Stack



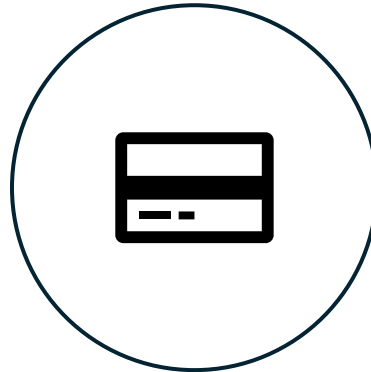
SaaS/Subscriptions

Cloud-powered, subscription-based platform powering restaurant operations with real-time insights, scalable tools, and seamless integration.



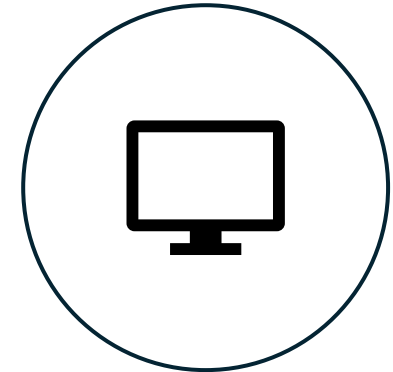
Fintech/Payments

Secure, high-volume payment processing with mobile wallets, contactless payments, and financial visibility across all transactions.



Hardware & Professional services

Reliable, durable hardware built to integrate seamlessly with Toast's software designed for high-performance restaurant environments.



Software Solutions

- Toast Tables
- Toast Payroll & Team Management
- Toast Marketing Platform

Payment & Financial Tools

- Payment Processing
- Gift Cards & Loyalty
- Checkout

Restaurant Hardware & Tech

- POS Terminals
- Handheld Devices
- Kitchen Display System

Competitive Landscape



Restaurant Specific Focus

Toast is built for restaurants with tools like POS, inventory management, online ordering, and employee scheduling. Square serves all industries and lacks the restaurant-specific tools needed for efficiency.

Scalability

Toast scales from single-location cafés to multi-location chains, offering customized pricing and features that grow with you. Square is designed for small businesses, limiting growth for larger restaurants.

End-to-End

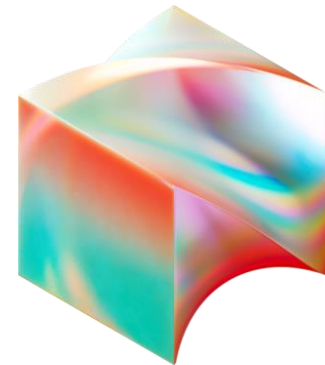
Toast provides a complete, integrated solution: POS, payments, reporting, inventory, and labor management in one platform. Square only covers POS and payments, requiring third-party tools for other restaurant needs.

Competitors

stripe



shopify



BLOCK



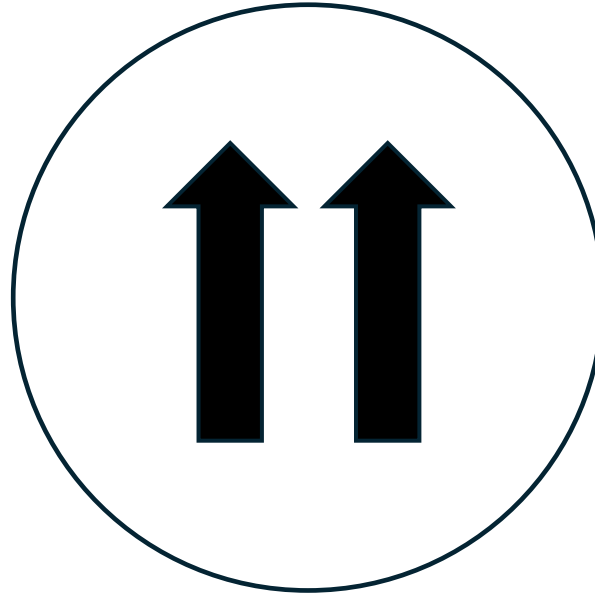
Comps



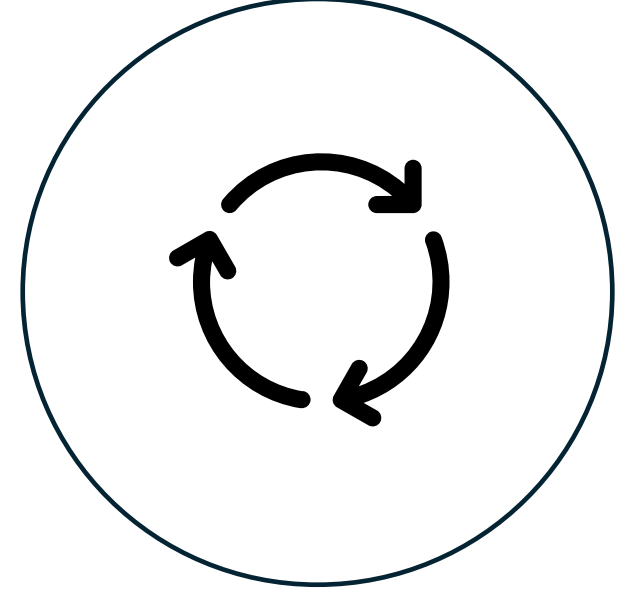
Ticker	Name	Share Price	Shares (M)	EV (B)	Market Cap	LTM Revenue (B)	LTM EBITDA (B)	Total Debt (B)	Cash (B)	Net debt (B)	TD/EBITDA	ND/EBITDA	EV/EBITDA	P/E
TOST	Toast Inc.	34.36	515.00	18.36	20204.00	5.86	0.319	(0.48)	1.36	(1.84)	-01.50x	-05.77x	57.55x	78.09x
SMB Commerce & Payments														
XYZ	Block Inc	64.35	547.67	37.65	39227.00	23.97	1.53	6.92	8.34	(1.42)	04.52x	-00.93x	24.61x	12.95
PYPL	PayPal	62.58	935.65	59.81	59788.00	32.86	7.49	10.25	8.99	1.26	01.37x	00.17x	07.99x	12.57
FISV	Fiserv Inc	62.69	537.85	62.87	34078.00	21.16	9.63	30.20	1.07	29.13	03.14x	03.02x	06.53x	9.69
GPN	Global Payments	76.24	236.74	32.48	18496.00	8.89	4.12	16.20	2.60	13.60	03.93x	03.30x	07.88x	11.57
FOUR	Shift 4	72.95	67.56	11.31	6465.00	3.88	0.764	4.81	1.51	3.30	06.30x	04.32x	14.80x	34.09
Median		64.35	537.85	37.65	34078.00	21.16	4.12	10.25	2.60	3.30	3.93x	3.02x	7.99x	12.57x
Standard Deviation		6.38	333.06	21.20	20386.01	11.71	3.81	10.19	3.85	12.52	1.81x	2.24x	7.57x	10.09x
Vertical SaaS														
LSPD	Lightspeed	15.73	138.38	1.56	2180.00	1.62	0.01514	0.03	0.64	(0.62)	01.65x	-40.89x	103.04x	-02.47x
SHOP	Shopify Inc	149.28	1220.00	189.17	194330.00	10.70	1.37	(2.82)	2.41	(5.23)	-02.06x	-03.82x	138.08x	116.18x
PCOR	Procore	75.14	155.47	11.03	11680.00	1.28	(0.026)	(0.31)	0.35	(0.66)	11.73x	25.19x	-424.23x	-88.28x
Median		75.14	155.47	11.03	11680.00	1.62	0.02	-0.31	0.64	-0.66	1.65x	-3.82x	103.04x	-2.47x
Standard Deviation		66.91	619.60	105.69	108299.66	5.34	0.79	1.56	1.11	2.65	7.14x	33.12x	315.02x	102.67x



Strategic Expansion



ARR Accelerating



Partnership Fly Wheel

Vertical, Enterprise, & International Expansion



Vertical Expansion – Food & Beverage Retail

Entering new retail segments with customers like Tri County Meat Market and DeLallo

- Minimal product adaption needed → leverages existing inventory, ordering & labor workflows
- Opens substantial adjacent TAM across specialty food retail

Enterprise Expansion

- Rapid adoption from major brands like **Nordstrom**, **TGI Fridays**, and **Ever bowl**
- -Strong win rates in multi-location chains
- Higher ARPU through deeper module adoption
- Validates Toast as an enterprise-grade operating platform

International Expansion

Strong traction in Ireland, the UK and Canada with plans to continue expanding

- ~20% YoY SaaS ARPU growth internationally
- Early evidence of scalable global product



“Today, about 95% of our ARR comes from our core U.S. SMB and mid-market restaurant customers.”

Long-Term Location Growth & Market Opportunity



Clear Trajectory toward 500,000+ Locations

Long-Term Opportunity

Toast's growth trajectory represents a fraction of its total addressable footprint. With 1M+ serviceable U.S. Locations and growing adoption in retail and international markets, the 500K+ target reflects significant untapped potential

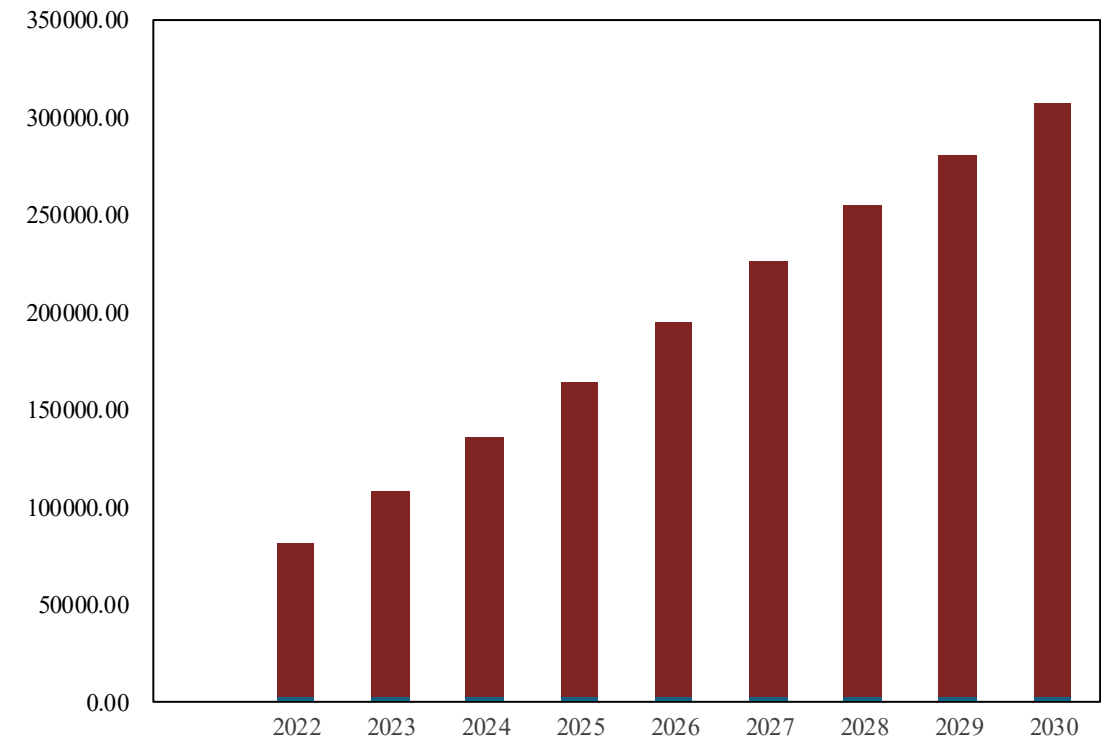
Share of TAM at 500K Locations

- 500K out of 1M+ U.S. addressable = ~50% market penetration
- 500K out of 2M+ global addressable = ~25% worldwide penetration

Unit Economics Benefit of Scale

- More locations → higher payments GPV → expanding gross profit
- Larger base strengthens Toast's operating leverage

Future Store Projections



Capturing Market Share



Toast's Current Market Position

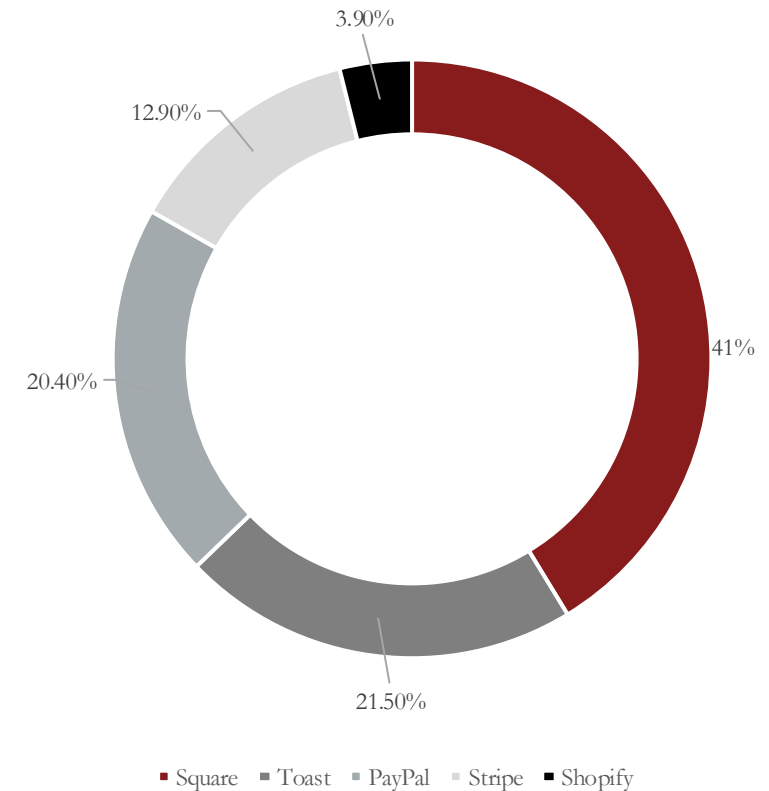
- ~21.5% share of restaurant POS market
- Fastest-growing provider among major competitors
- Winning share from legacy POS systems

Why Toast Wins Shares

- Superior end-to-end platform (POS + Payments + SaaS modules)
- High restaurant retention through deep operational integration
- Strong adoption by multi-location & premium restaurants

Outlook

Goal: 50% share of U.S. market



ARR Accelerations



Key Factors

ARR Growth:

- ARR doubled in two years from 1 billion to 2 billion

Annual Growth Rate

- Toast has maintained around a 30% ARR growth rate year over year

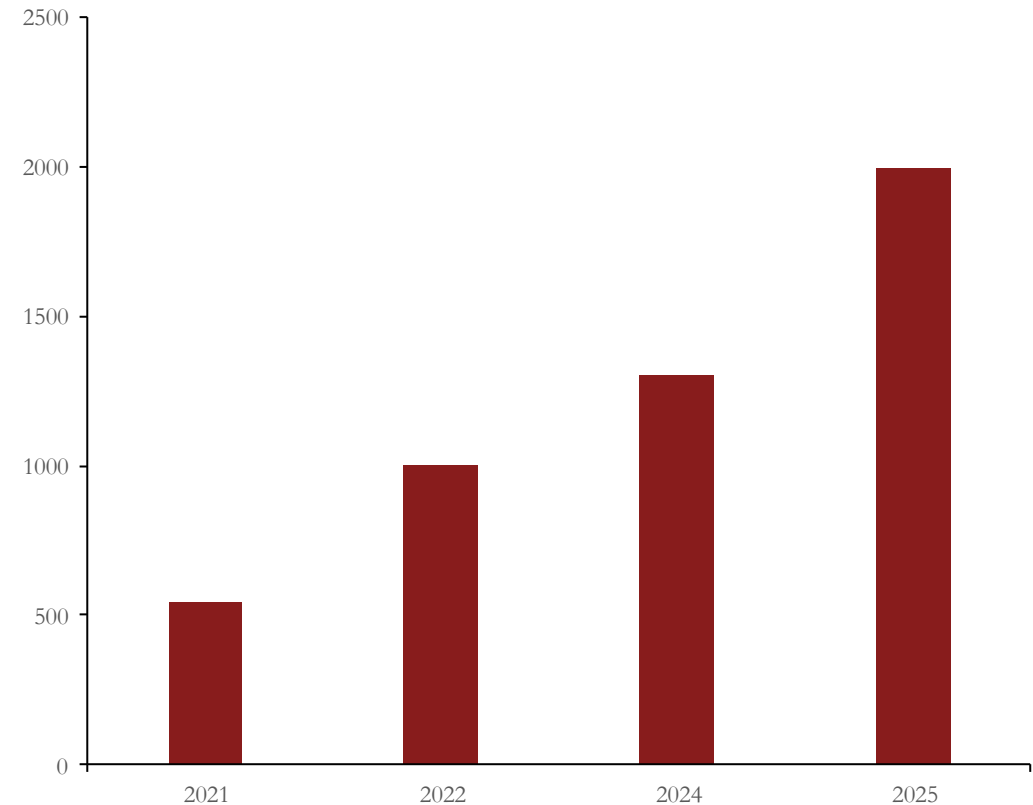
Future Growth Potential

- On track to sustain 25-30%+ ARR growth in the coming years driven by strong product adoption, high retention rates, and a scalable recurring revenue model

Location and Restaurant Growth

- As Toast continues to grow locations and helps current customers grow their GPV will increase, helping to maintain stable ARR Growth

ARR Growth



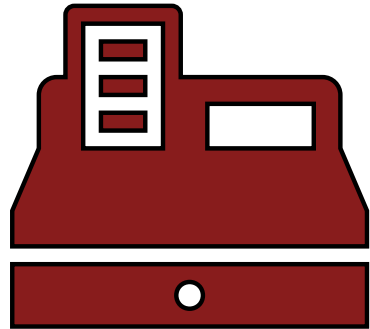
ARR Drivers



Critical Workflows

Toast provides restaurants with critical services (payments, payroll, kitchen operations, POS) that are necessary for everyday use.

- Stable and predictable revenue
- Essential services for restaurants create high switching costs



Low Churn

Restaurants are becoming increasingly more dependent on Toast services, leading to high retention in the long term, ensuring stable recurring revenue.

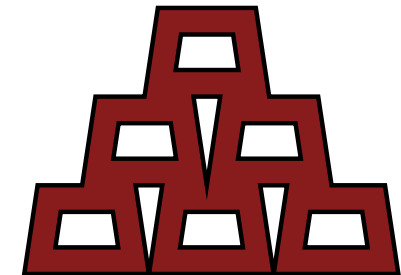
- As Toast becomes more embedded, sustained growth is driven
- Long-term retention can help to stabilize ARR



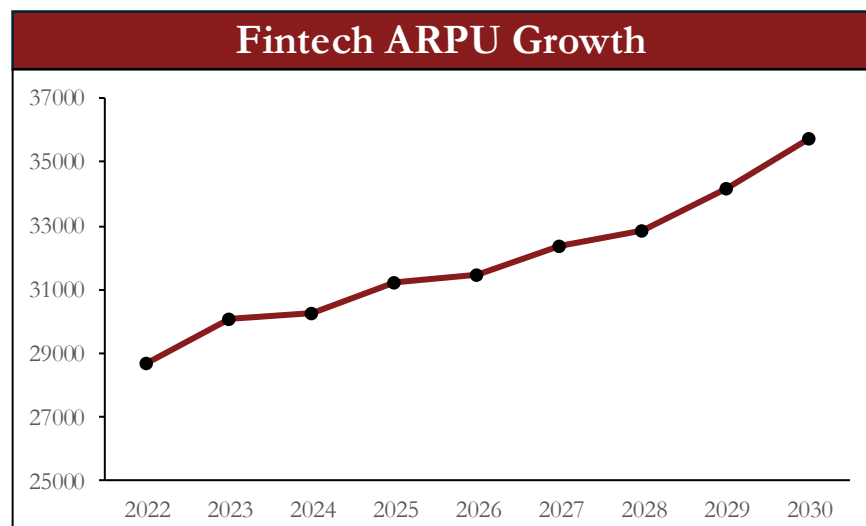
Payment Volume Growth

As restaurants process more payments through Toast:

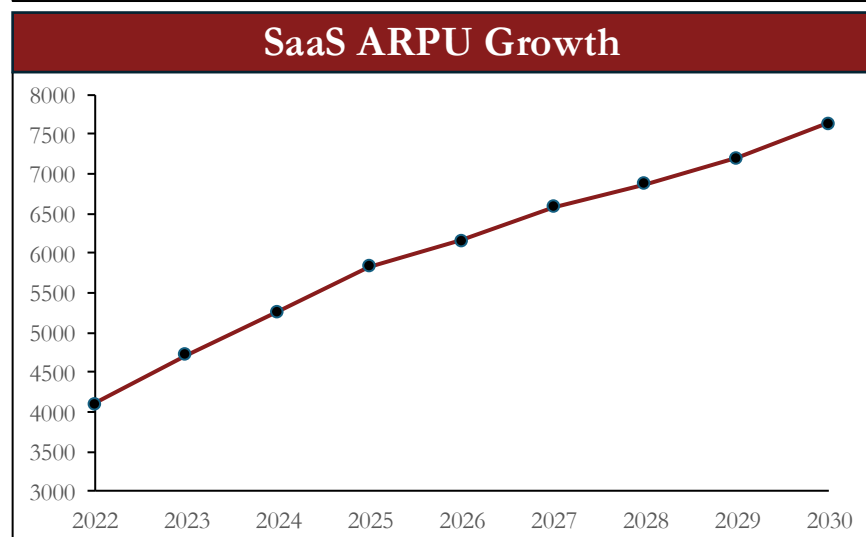
- Toast earns more recurring payments revenue
- Higher same-store sales → higher recurring revenue



ARPU Growth



Fintech ARPU growing rapidly, driven by higher transaction volumes and increasing take rates. The success of Toast Payments and Toast Capital has accelerated revenue from these sources.

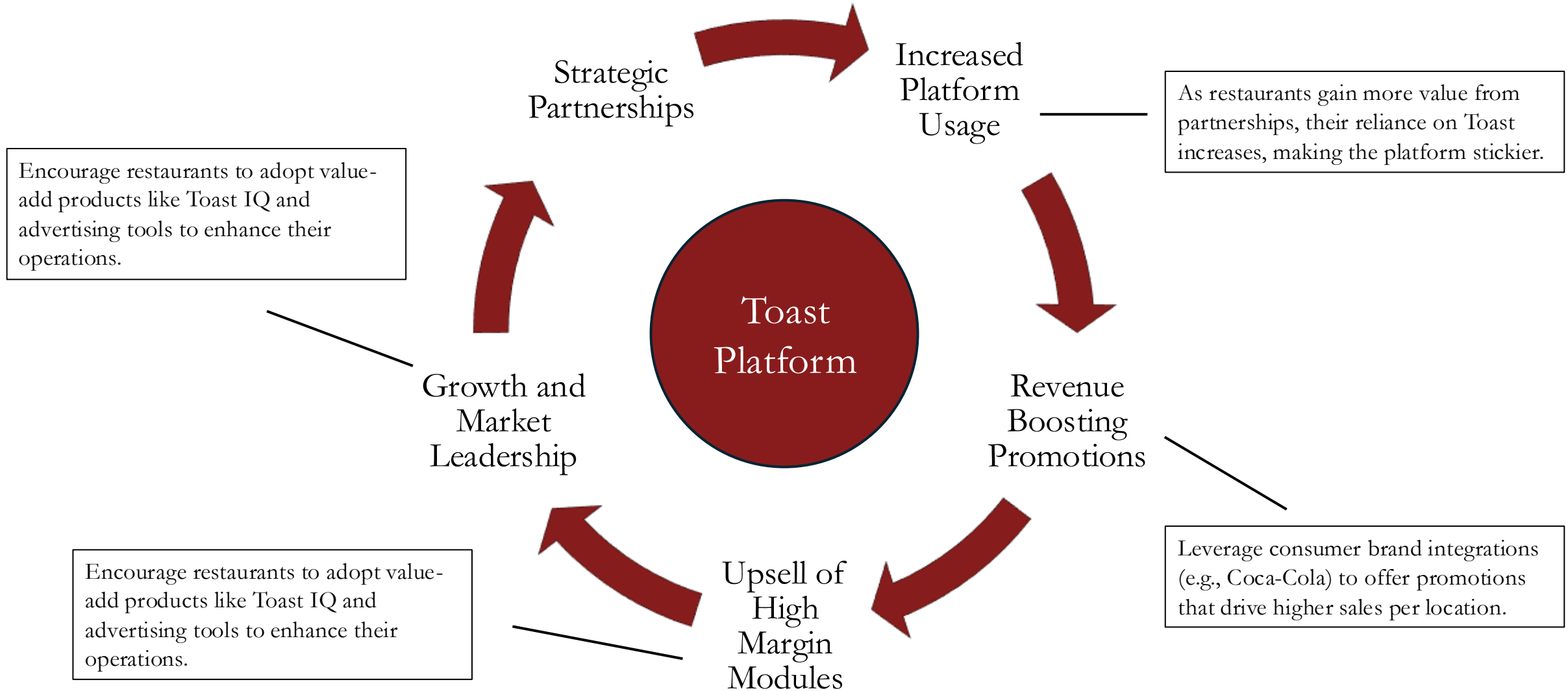


Steady growth of SaaS ARPU. This growth is driven by product innovation and upsell opportunities through solutions like Toast IQ and Toast Payroll, which contribute to predictable and recurring revenue.

Result

Toast can generate more recurring revenue from each existing restaurant through high-margin upsells, rather than relying solely on new location adds.

Partnership Flywheel



Key Partnerships



Coca-Cola

Driving higher sales and customer engagement. It also boosts brand credibility and expands Toast's market reach.

- Data-Driven Promotions: Leverage Coca-Cola's customer insights to create personalized offers that drive higher sales.
- Co-Branded Marketing: Benefit from joint campaigns to enhance visibility and attract more customers.



Michelin Star Restaurant

Market Leadership: Their presence strengthens Toast's position as the go-to platform for both mainstream and fine-dining establishments

- Michelin-star restaurants represent a unique segment of the market, driving prestige and demonstrating Toast's value in high-end dining.
- These partnerships enhance Toast's brand and build credibility within the premium restaurant market.



Uber

The partnership will boost revenue through expanded delivery services using seamless integration and enhance brand image as an innovative leader, attracting new clients and increasing restaurant retention.

- Lower Delivery Costs: Restaurants save on delivery fees by using Uber's extensive network.
- Expanded Delivery Radius: Restaurants can serve more customers with a broader delivery area.



Future Blockchain Integration



What Toast Does Now

Payments Processing & Settlements:

- Traditional banking rails
- 1–3-day payouts
- Higher processing & settlement fees

Loyalty Programs for Restaurants:

- Restaurant-specific programs
- No cross-restaurant loyalty
- Manual setup + admin burden

Data Transparency & Fraud Prevention:

- Centralized databases
- Manual chargeback reviews
- Limited end-to-end visibility



Blockchain Implementation



How Blockchain Can Improve Operations

Payments Processing & Settlements (Future):

- Instant stablecoin payouts
- Lower fees & FX friction
- Tamper-proof payment records

Loyalty Programs for Restaurants (Future):

- Universal Toast loyalty token
- Cross-restaurant rewards
- Automated rewards via smart contracts

Data Transparency & Fraud Prevention (Future):

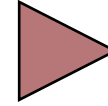
- Immutable transaction ledger
- Faster dispute resolution
- Stronger auditability & compliance

Risks and Mitigants



01

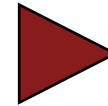
Macroeconomic Condition



Toast's cost-effective solutions help restaurants optimize operations, reduce waste, and maintain profitability, even in the face of macroeconomic challenges like inflation and recession.

02

Margins



Toast mitigates margin risk by shifting its revenue mix toward higher-margin SaaS subscriptions and value-added FinTech products, which expand gross margin and improve operating leverage over time.

03

Churn



Toast helps reduce churn by offering tailored support and resources that improve restaurant operations, enhance customer experiences, and increase their chances of long-term success.

DCF Model



All numbers displayed in \$mm

Assumptions	
Tax Rate	25.00%
Discount Rate	19.93%
Perpetual Growth Rate	2.50%
EV/EBITDA Multiple	57.55x
Transaction Date	12/8/2025
Fiscal Year End	2/26/2025
Current Price	\$35.67
Diluted Shares Outstanding	609.00
Debt & Other LT Liabilities	(\$480.00)
Cash & Investments	\$1,360.00
Preferred Equity	\$0.00

Intrinsic Value	
Enterprise Value	\$30,298.61
Plus: Cash	\$1,360.00
Less: Debt	(\$480.00)
Less: Preferred Equity	\$0.00
Equity Value	\$32,138.61
Equity Value per Share	\$52.77

Market Value	
Plus: Debt	(\$480.00)
Plus: Preferred Equity	\$0.00
Less: Cash	\$1,360.00
Enterprise Value	\$19,883.03
Equity Value per Share	\$35.67

Terminal Value	
Perpetual Growth	\$10,173.73
Multiple Valuation	\$119,433.84
Average	\$64,803.78

Discounted Cash Flow	Entry	2025	2026	2027	2028	2029	2029	Exit
Date	12/8/2025	2/26/2025	2/26/2026	2/26/2027	2/26/2028	2/26/2029	2/26/2030	2/26/2030
Year Fraction		0.75	1.00	1.00	1.00	1.00	1.00	
EBIT		\$379.07	\$565.23	\$936.41	\$1,198.21	\$1,524.14	\$1,899.86	
Less: Taxes		(\$94.77)	(\$141.31)	(\$234.10)	(\$299.55)	(\$381.04)	(\$474.97)	
Plus: D&A		\$81.13	\$97.69	\$116.75	\$134.40	\$153.88	\$175.44	
EBITDA		\$460.20	\$662.92	\$1,053.17	\$1,332.60	\$1,678.02	\$2,075.31	
Less: CapEx		\$19.85	\$23.72	\$27.31	\$31.27	\$35.65	\$0.00	
Plus: NWC Investment		\$0.42	\$13.26	\$9.67	\$12.62	\$15.96	\$0.00	
Adjusted Free Cash Flow		\$480.47	\$699.90	\$1,090.15	\$1,376.50	\$1,729.63	\$2,075.31	*****
Transaction Cash Flow		\$376.37	\$699.90	\$1,090.15	\$1,376.50	\$1,729.63	\$2,075.31	\$64,803.78

Upside (Downside)	
Current Share Price	\$35.67
Intrinsic Value	\$52.77
Upside (Downside) %	47.95%

WACC Calculations	
Cost of Equity	19.94%
Risk Free Rate	4.14%
Equity Risk Premium	8.14%
Beta	1.94
Cost of Debt	5.00%
Weight of Equity	99.90%
Weight of Debt	0.10%
1- Tax Rate	75.00%
WACC	19.93%

WACC

WACC

	EV/EBITDA Multiple				
	56.55x	57.05x	57.55x	58.05x	58.55x
20.43%	\$51.04	\$51.37	\$51.71	\$52.04	\$52.38
20.18%	\$51.55	\$51.89	\$52.23	\$52.57	\$52.91
19.93%	\$52.08	\$52.42	\$52.76	\$53.11	\$53.45
19.68%	\$52.61	\$52.96	\$53.30	\$53.65	\$54.00
19.43%	\$53.15	\$53.50	\$53.85	\$54.20	\$54.55

	EV/EBITDA Multiple				
	56.55x	57.05x	57.55x	58.05x	58.55x
20.43%	43.08%	44.02%	44.96%	45.90%	46.85%
20.18%	44.53%	45.48%	46.43%	47.38%	48.34%
19.93%	46.00%	46.96%	47.92%	48.89%	49.85%
19.68%	47.49%	48.47%	49.44%	50.41%	51.38%
19.43%	49.01%	50.00%	50.98%	51.96%	52.94%

MBF vs Consensus



MBF vs Consensus (\$mm)	FY25	FY26	FY27
MBF Revenue	6197.21	7462.44	8918.59
Consensus Revenue	6143.41	7410.38	8767.04
Change	0.88%	0.70%	1.73%
MBF Gross Margin	27.39%	29.19%	31.15%
Consensus Gross Margin	27.40%	28.23%	29.20%
Change	-0.05%	3.41%	6.66%
MBF EBITDA Margin	7.43%	8.88%	11.81%
Consensus EBIT Margin	10.08%	10.57%	11.56%
Change	-2.65%	-1.69%	0.25%
MBF Net Income	385.07	571.23	942.41
Consensus Net Income	320.09	464.82	662.22
Change	20.30%	22.89%	42.31%

Management



Arman Narang
CEO & Director

He previously led Sales, Marketing, Customer Success, Business Development, and Fintech as Toast's Chief Operating Officer.

Elena Gomez
CFO

she oversees global finance, investor relations and corporate development. Under her leadership, Toast launched its initial public offering in 2021.

Steve Fredette
President & Director

Steve Fredette is the President, Co-founder, and a Director of Toast, where he leads product and innovation initiatives.

Brian Elworthy
Senior VP & General Counsel

In this role, he leads a team of attorneys and compliance professionals responsible for all aspects of Toast's legal and regulatory affairs around the world.

Appendix